

extended length of time. This means economic stagnation and consequent social tensions; or

- b) The workers in this sector will use their numerical strength to get wages higher than their economic contribution justified. This will impoverish others— reducing everyone's income and increasing unemployment.

Further, the growth of service sector is constrained by slower growth in the manufacturing sector. While the inter-linkages between manufacturing and service sectors are two-way, the expansion of certain manufacturing activities boosts specific service industries. Many modern manufacturing companies outsource technical and business-related services such as research and development, financing, marketing, branding and logistics. Manufacturing industries such as mechanical and electrical engineering or even textiles depend crucially on services such as technical and design support, data processing, customer services, and advertising. As manufacturing firms grow and become more specialised, services tend to get more and more incorporated into their value chain.

Manufacturing expansion spurs the development of physical infrastructure such as roads, ports and railways, which are critical inputs to improve manufacturing productivity. In turn, demand for infrastructure-related services such as transportation, telecommunication and financial intermediation grows. Manufacturing growth, therefore, gives a boost to services. However, weaknesses need to be addressed. We are very poor in what service customers view to be the most important dimension— that of delivering on promises without being chased. Recent research on a major Indian corporation revealed that it spends around 40 per cent of its time on “following up” each other. This is par for the course around India. If that is correct, this weakness alone could wreck us.

2.4.5 Need for an Integrated Policy

The contribution of the services sector to the Indian economy has been manifold: a 57 per cent share in GDP, growing by 10 per cent annually, contributing to about a quarter of total employment, accounting for a high share in FDI inflows and over one-third of total exports, and recording very fast export growth. To make services-led growth more widespread and sustainable, it is important to systematically and simultaneously remove those constraints from which the sector suffers presently. To do this, a coherent integrated services policy (in line with the agricultural and industrial policies) needs to be developed. Reforms in services in India have evolved in an *ad hoc* manner rather than as part of an overall strategy. Consequently, the depth and pace of reforms lack uniformity across sectors. Given the strong inter-linkages between different services, opening a particular services sector may not yield results if not backed by corresponding reforms in other complementary services. Such an integrated services policy should also define the sequence as well as the pace of reforms to be undertaken simultaneously in different services. Liberalisation should be followed in a phased manner accompanied by social policies in sectors that have surplus labour so as to avoid creating unemployment and social unrest. This will go a long way in sustaining the dynamism of services-led growth.

Check Your Progress 3

- 1) Discuss in brief the causes of the rapid increase in tertiary sector in India.

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- 2) Discuss in brief the limitations from which the service sector suffers in India.

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- 3) Outline the need for an integrated service sector policy in India.

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2.5 MEDIUM AND LONG-TERM GROWTH PROSPECTS OF THE ECONOMY

In the medium to long-term, the expectation is that India's pace of economic development will pick up. There are two reasons for this expectation. *One*, given the momentum in the savings and investment rates and also the fact that India's demographic dividend is yet to peak and there is evidence that the savings rate for the working-age population of India, especially for those in the 30s and 40s, is high, investment rate could potentially improve. *Two*, the fraction of investment that is going towards building up infrastructure has been rising. The importance of infrastructure for sustainable and inclusive development is now well recognised and the government is seeking to give this a large boost. It is known that once an economy begins to operate close to potential savings and investment rates, sustenance of growth momentum requires productive improvements, which depends in turn depends on improvement in human capital on skill upgradation, technology and innovation in production. There are several initiatives underway to address these requirements as highlighted in the earlier section. Importantly, there is nothing preordained about India's economic rise— i. The sustenance of the growth story needs nourishment, not merely sound bites.

2.5.1 Major Policy Initiatives in the Recent Decades

2.5.1.1 Containing Inflation and Soaring Fiscal Deficits

Following an agreement between Government of India (GOI) and Reserve Bank of India (RBI), a Monetary Policy Committee (MPC) was constituted in February, 2015 with the mandate to target a headline inflation of 4 per cent, with a band of two percentage points on either side. The framework has been successful in containing inflation. Since April 2015, when the MPC was first convened, the monthly headline inflation has always remained within the band except for one month.

Discipline was also imposed on the Gross Fiscal Deficit (GFD). The Fiscal Responsibility and Budget Management (FRBM) Act of 2003, which got a new lease of life since 2016, determines the glide path for the ratio of GFD to GDP to reach an eventual target of 3 per cent. The ratio declined from 4.5 per cent in 2013-14 to 3.4 per cent in 2018-19. Other macro-stability indicators have similarly improved.

2.5.1.2 Beneficiary Focus and Targeted Delivery

In addition to re-establishing macroeconomic stability, the government also focused on last-mile delivery of basic services to the poor, on basic safety-nets, and on creating pathways for the benefits of growth to reach the bottom of the socio-economic ladder. The promulgation of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits, and Services) Act, 2016 was one such initiative that opened a major pathway to this trickle-down. By assigning a unique identification number to every individual, the government now has the ability to provide targeted support. Presently, Aadhaar coverage stands at more than 90 per cent of the country's population.

Another pathway for the trickle-down is the Pradhan Mantri Jan Dhan Yojana (PMJDY), a financial inclusion initiative. The linking of mobile numbers with bank account numbers and subsequently Aadhaar, created a JAM (Jan Dhan, Aadhaar, Mobile) trinity that further secured Direct Benefit Transfers (DBT) to the intended beneficiaries.

Major schemes implemented under DBT include MGNREGS (Mahatma Gandhi National Rural Employment Guarantee Scheme), NSAP (National Social Assistance Programme), PMAY-G (Pradhan Mantri Awas Yojna-Gramin), besides various scholarships and fertilizer subsidy schemes. A key initiative for last-mile delivery was the Pradhan Mantri Ujjwala Yojana (PMUY) that was launched in 2016 to provide LPG connections to BPL (Below Poverty Line) families. In 2018, another effort to provide a basic safety net was launched through the Ayushman Bharat Yojana (ABY), which provides an insurance cover of Rs. 5,00,000 for cashless treatment to each of the 100 million BPL families at a nominal premium of Rs. 100 per month.

2.5.1.3 Infrastructure

The creation of physical infrastructure accelerated significantly during 2014-19. In April 2018, electricity finally reached every village in India with the effort to electrify every home still ongoing. The construction of national highways (NH)